Legal Prices: The Normative Calculation Problem and Why Legal Systems Need Price Mechanisms

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Abstract

In 1920, Ludwig von Mises demonstrated that socialist planning cannot work because without market prices, rational economic calculation is impossible. This paper argues that legal systems face an analogous problem. Legal actors must make decisions based on information dispersed across millions of individuals: How will courts interpret "reasonable time"? What is the actual compliance rate for a given regulation? Legal systems generate this information through case-by-case application, each producing a "legal price," but lack mechanisms to aggregate and transmit it. The result is massive uncertainty.

This framework illuminates several pathologies. Normative inflation occurs when rules proliferate beyond enforcement capacity, diluting expected compliance. Normative deflation occurs when constitutional rigidity prevents adaptation. Some systems exhibit normative stagflation: simultaneous inflation of unenforced rules and deflation of constitutional adaptability. Argentina exemplifies this condition. The analysis suggests legal systems need mechanisms performing for normative interpretation what prices perform for economic coordination. I examine possible implementations and their tradeoffs.

Keywords: economic calculation, legal uncertainty, price mechanism, normative inflation, normative stagflation, constitutional rigidity, Mises, Hayek, transaction costs, legal interpretation, institutional economics, spontaneous order, Argentina

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I. Introduction: The Hidden Calculation Problem

A Problem Hiding in Plain Sight

Every legal system generates massive uncertainty, and this uncertainty is so pervasive that we have come to treat it as natural, as simply part of what law is. When a firm considers entering a contract with a force majeure clause, it cannot know with precision how courts will interpret that clause if a pandemic, natural disaster, or political upheaval disrupts performance. The firm's lawyers can research precedents, analyze

trends, and render opinions, but these opinions are probabilistic at best. They might say that courts "generally" treat pandemics as force majeure, or that "some jurisdictions" require the event to be unforeseeable, or that "recent cases" suggest a trend toward narrower interpretation. What they cannot say is what this particular court will do with this particular clause in this particular dispute. The firm must decide whether to sign the contract without knowing what it means.

This situation is not exceptional but routine. When an employer contemplates terminating an employee, it cannot know exactly what consequences will follow. Will the termination be deemed wrongful? What damages might a court award? How long will litigation take? What is the probability of settlement versus trial? The employer's lawyers can estimate, but estimation is not knowledge. The employer must act under uncertainty that no amount of legal advice can fully dispel. When a legislator drafts a statute regulating artificial intelligence, they cannot know how courts will apply abstract language to concrete situations the drafter never imagined. Terms like "algorithmic fairness" or "automated decision-making" will acquire meaning through application, and that meaning will emerge years after the statute is enacted, through cases the legislator cannot foresee. The legislator must write rules without knowing what they will mean.

This uncertainty is not incidental but structural. Legal language must be general to cover unforeseen cases. A contract that specified every possible contingency would be infinitely long and still incomplete. A statute that defined every term with mathematical precision would be incomprehensible and still ambiguous at the margins. Terms like "reasonable," "material," "good faith," and "due process" cannot be eliminated because they serve an essential function: they allow legal rules to apply to situations that did not exist when the rules were written. The gap between abstract norm and concrete application must be filled through interpretation, and interpretation introduces uncertainty because reasonable people can interpret the same text differently.

The costs of this uncertainty are substantial, though difficult to measure precisely. Parties cannot price risk accurately when they do not know how legal rules will apply to their situation. A construction company bidding on a project must estimate the legal consequences of delay, but if the company cannot know whether a particular delay will be excused, it cannot know what bid to submit. Either it bids high to cover worst-case legal exposure, potentially losing the contract to a competitor who bid lower by underestimating risk, or it bids low and hopes for favorable interpretation, potentially facing ruinous liability if the interpretation goes against it. Neither outcome is efficient. The company is not choosing based on its construction costs and capabilities, which it knows, but based on legal consequences it cannot know. Resources are misallocated because the information necessary for rational allocation does not exist in usable form.

Transactions are delayed or abandoned pending legal advice that is itself uncertain. A technology company considering expansion into a new jurisdiction must assess the regulatory environment, but if the company cannot know how regulators will interpret existing rules or what new rules they might enact, it cannot know whether expansion is profitable. The company might hire lawyers to investigate, but investigation takes

time and money, and the conclusion will be probabilistic. Meanwhile, the opportunity may pass. Other companies facing the same uncertainty may also hesitate, and a market that would benefit consumers may fail to develop because producers cannot calculate whether participation is worthwhile. The uncertainty does not merely impose costs on individual parties; it prevents beneficial exchanges from occurring at all.

Resources flow to litigation that resolves disputes ex post rather than to planning that would prevent them ex ante. When parties cannot know what their contract means, they are more likely to disagree about performance. When they disagree, they litigate. Litigation is extraordinarily expensive: not just lawyers' fees, which are substantial, but management attention diverted from productive activity, relationships damaged by adversarial process, and outcomes determined by factors irrelevant to the merits. A study by Hadfield (2017) estimated that legal uncertainty costs the American economy over $300 billion annually in delayed or foregone transactions. Another by Coates (2012) found that commercial parties spend approximately 3% of contract value on legal fees primarily aimed at reducing interpretive uncertainty. These are staggering numbers, and they measure only the direct costs, not the opportunity costs of transactions that never happened or innovations that were never attempted because legal uncertainty made calculation impossible.

Yet this problem has received surprisingly little attention from legal theorists. Jurisprudence focuses on what the law is or should be, not on how information about legal consequences gets generated and transmitted. Scholars debate whether judges should interpret statutes according to original meaning or evolving understanding, whether constitutional provisions should be read narrowly or broadly, whether precedent should bind or merely guide. These are important questions, but they assume that once we determine what the law is, people can know it. The assumption is false. Even if we could agree on the correct interpretation of every legal text, the application of those interpretations to concrete cases would remain uncertain, because application requires judgment and judgment varies.

Law and economics focuses on incentive effects of legal rules, not on the epistemic conditions that make those rules knowable. Scholars model how liability rules affect behavior, assuming that actors know the rules and can calculate their application. The models show that efficient rules create efficient incentives. But if actors cannot know the rules, or cannot calculate their application, the models fail. The elegant predictions of law and economics depend on an information environment that does not exist. The result is that legal systems have evolved elaborate mechanisms for producing legal information—courts, precedents, scholarly commentary—without developing adequate mechanisms for aggregating and transmitting that information to those who need it. We have the raw materials for a legal price system but not the system itself.

The Misesian Parallel

In 1920, Ludwig von Mises published an article that initiated the most important debate in twentieth-century economics. His argument was deceptively simple: socialism cannot work because without market prices there can be no rational economic

calculation (Mises 1920). The socialist vision had assumed that central planners, freed from the "anarchy" of markets, could allocate resources more rationally than decentralized exchange. Planners would survey needs, inventory resources, and direct production to maximize social welfare. What could be more rational than conscious coordination replacing blind market forces? Mises showed that this vision was incoherent, not because planners would be stupid or corrupt, but because the information necessary for rational planning does not exist without markets.

The argument deserves careful examination because its structure applies beyond economics. Mises was not arguing that planners would lack motivation to plan well. Socialists could be as public-spirited as anyone; the problem was not incentives. He was not arguing that planners would lack computational power to process data. Computers would eventually provide enormous processing capacity; the problem was not calculation in the arithmetic sense. He was arguing that the information necessary for rational allocation does not exist without markets. This is an epistemic problem, not an incentive problem or a computational problem, and it cannot be solved by giving planners better motives or faster computers.

Consider what market prices actually encode. When wheat trades at a certain price relative to steel, that price reflects countless individual decisions by people with local knowledge about their particular circumstances. Farmers decide whether to plant wheat based on their assessment of soil conditions, weather forecasts, input costs, and expected prices. Consumers decide whether to buy bread based on their preferences, income, and available alternatives. Manufacturers decide whether to use steel based on their production requirements, available substitutes, and customer demands. Each participant knows things that others do not. The farmer knows the peculiarities of his land. The consumer knows her own tastes. The manufacturer knows his production process. None of them knows what all the others know, and none of them needs to.

The price aggregates their knowledge into a signal that others can use. A baker deciding whether to buy wheat does not need to know about planting conditions in Kansas or consumption patterns in Tokyo. The price summarizes all relevant information in a form the baker can use. If wheat is expensive, the baker knows that wheat is relatively scarce, that demand is relatively high, or both. The baker does not know why, but does not need to know why. The price tells the baker what matters for the baker's decision: whether to buy wheat at this price or substitute something else. This is what Hayek (1945) called the "marvel" of the price system: it coordinates dispersed knowledge that no single mind could comprehend, and it does so without anyone understanding the complete picture.

Mises argued that this information-generating function is essential to what he called economic calculation: comparing the value of inputs to the value of outputs to determine whether a production process is worthwhile. Should we build a bridge with steel or concrete? The answer depends on whether the value of the bridge exceeds the value of the inputs, and that comparison requires knowing the value of steel, concrete, labor, and bridges. But "value" in this sense exists only in relation to alternative uses that prices make visible. Without prices, the planner cannot know whether using steel

for the bridge is better than using it for automobiles or buildings or something else entirely. The planner might have detailed technical knowledge about bridge construction, might know exactly how much steel a bridge requires, might even know that this location needs a bridge. But without prices, the planner cannot know whether building the bridge is worth what it costs, because "cost" means opportunities foregone, and opportunities foregone are visible only through prices.

The socialist calculation debate is usually treated as a chapter in the history of economic thought, relevant to understanding why Soviet planning failed but not to contemporary problems. I want to suggest that Mises identified something more general: a structural problem that afflicts any complex coordination system that lacks adequate price mechanisms. Legal systems exhibit exactly this problem. They must coordinate decentralized decisions based on information dispersed across millions of individuals, and they lack mechanisms to aggregate that information into usable signals. The result is systematic miscalculation: parties enter contracts without knowing what they mean, legislators enact statutes without knowing how they will be applied, judges decide cases without knowing how their decisions fit into broader patterns. We do not usually call this a calculation problem, but that is what it is.

II. Legal Prices: A Conceptual Framework

What Legal Prices Are

I use the term "legal price" to denote the specific consequence that the legal system assigns to a particular configuration of norms and facts. A legal price is generated when an abstract norm is applied to a concrete situation, producing a determinate outcome. The concept requires elaboration because legal prices differ from market prices in important ways, and understanding both the similarities and the differences is essential to the argument.

Consider a straightforward example. A construction contract specifies that the contractor must complete work within "reasonable time." The contractor takes fourteen months to complete a project originally scheduled for twelve months. The owner sues for breach. The court rules that fourteen months was not reasonable given the circumstances—weather delays that were foreseeable, supply chain issues that the contractor could have anticipated, labor shortages that affected all contractors equally—and awards $500,000 in damages. This ruling is a legal price. It tells the world: this configuration of contract terms, delay duration, excuse conditions, and circumstances produces this consequence. Parties to similar contracts now know something they did not know before. Fourteen months is not "reasonable" for a twelve-month project with these excuse conditions. The legal system has priced this situation.

The pricing function is clearer when we consider what parties learn from the ruling. A contractor bidding on a similar project now knows that similar delays will not be excused. The contractor can adjust the bid to reflect this risk, building in buffers for foreseeable delays or pricing the risk of liability. An owner drafting a similar contract

now knows that "reasonable time" without further specification will be interpreted in a certain way. The owner might add more specific milestones or different excuse conditions. A lawyer advising either party now has a data point: in this jurisdiction, with these facts, the court reached this result. The lawyer can use this data point, along with others, to estimate probabilities for future disputes. The ruling transmits information that enables calculation.

Every legal resolution produces such prices, though the prices vary in visibility and informativeness. Judicial decisions are relatively visible because courts publish written opinions explaining their reasoning. The opinion tells not just what the court decided but why, allowing future parties to assess whether their situation is similar. Arbitral awards are less visible because many are confidential, but those that are published serve the same pricing function. Settlements are even less visible because they are typically private, but they still produce prices: the settling parties learn what their dispute was "worth," even if others do not. Administrative rulings, enforcement actions, regulatory interpretations, and advisory opinions all produce prices of varying visibility.

Even contractual provisions produce prices, though prospectively rather than retrospectively. When sophisticated parties negotiate a contract, they are implicitly pricing legal consequences. A force majeure clause that excuses performance during pandemics reflects the parties' estimate of how courts would treat pandemic-related non-performance absent such a clause, adjusted for their preferences about risk allocation. Standard form contracts aggregate the experience of many transactions: the terms that survive in standard forms are those that have proven workable, which means that their legal prices have been acceptable to the parties who adopted them. When a standard form includes a particular arbitration clause, that clause embeds information about how similar clauses have performed—whether they have been enforced, whether arbitration has been faster or cheaper than litigation, whether outcomes have been satisfactory.

How Legal Prices Differ from Market Prices

Legal prices serve the same fundamental function as market prices—they transmit information that enables calculation—but they differ in several important respects that affect how well they serve this function.

The first difference is dimensionality. A market price is a single number: dollars per bushel, yen per share, euros per barrel. Comparing prices is straightforward: $5 is more than $4. A legal price is multidimensional. It includes the outcome (liability or not), the magnitude (damages amount), the reasoning (which facts mattered and why), the procedural context (which court, applying which law, following which procedures), and the confidence level (was this a close case or an easy one). Comparing legal prices requires comparing across these dimensions, which is far more complex than comparing numbers. Two cases might reach the same outcome with different reasoning, which makes their precedential value different. Two cases might award different damages for similar conduct, which might reflect different facts or different

judicial philosophies. Assessing similarity requires judgment that market prices do not require.

The second difference is generality. A market price for wheat applies to all wheat of that grade at that moment. Anyone buying wheat pays the same price (approximately, ignoring transaction costs). A legal price applies to the specific case, and its applicability to other cases depends on how similar those cases are. But similarity is not self-defining. Is a case involving a fourteen-month delay on a twelve-month construction project similar to a case involving a sixteen-month delay on an eighteen-month project? Similar enough for the precedent to control? Similar enough to be relevant? These questions have no objective answers. Lawyers and judges make arguments about similarity, and reasonable people disagree. The legal price of the first case transmits information about the second case, but how much information depends on judgments about similarity that are themselves contested.

The third difference is publicity. Market prices for traded securities are public by design. Exchanges exist precisely to centralize transactions and publish prices so that market participants can see them. The New York Stock Exchange publishes prices continuously; anyone can look up the current price of any listed stock. Legal prices vary enormously in publicity. Judicial opinions from appellate courts are generally published and accessible, though finding them requires research that has costs. Opinions from trial courts are less consistently published. Arbitral awards may be confidential by agreement of the parties. Settlements are almost always confidential: the parties know what they agreed, but no one else does. Administrative interpretations may be published or may be communicated only to the parties involved. The result is that a significant fraction of legal prices never become visible to anyone except the immediate parties, and the information they contain is lost to the system.

The fourth difference is stability. Market prices change continuously as new transactions occur. Every trade updates the price, and the update is immediate and visible. The price of a stock at 10:00 AM may differ from the price at 10:01 AM, and both prices are available to anyone who looks. Legal prices change discretely: a new precedent can shift expectations suddenly, but between precedents the price remains stable (or at least is assumed to remain stable). If no court has ruled on pandemic-related force majeure since 2021, parties in 2025 must rely on the 2021 rulings, even though circumstances may have changed. The legal system does not reprice continuously the way markets do. This creates a sawtooth pattern: long periods of stable prices punctuated by sudden shifts when new precedents emerge.

Despite these differences, legal prices serve the same fundamental function as market prices. They transmit information that enables actors to calculate. A party who knows the legal price for a certain type of conduct can calculate whether to engage in it. A legislator who knows the legal price of existing rules can calculate whether changes would improve outcomes. A judge who knows the legal price in other jurisdictions can calculate whether a ruling is consistent with broader patterns. The differences affect how well legal prices serve this function, and much of what follows concerns

institutional arrangements that could make legal prices more useful. But the function itself is the same.

The Generation of Legal Prices

Legal prices are generated through the application of norms to facts by authoritative decision-makers. Understanding how this generation occurs helps clarify why legal pricing systems work as they do and where they might be improved.

Judicial decisions are the paradigmatic source of legal prices. A court faces a dispute between parties who disagree about what the law requires. The court hears evidence about the facts, receives arguments about the law, and renders a decision. The decision resolves the immediate dispute: plaintiff wins or defendant wins, damages are awarded or not, injunction is granted or denied. But the decision also generates information beyond the immediate dispute. The written opinion explains the court's reasoning, identifies the facts that mattered, interprets the relevant legal rules, and applies those rules to the facts. Future parties can read the opinion and learn how this court, at this time, treated this type of situation. They can use this information to predict how similar situations will be treated, to structure their own conduct, and to assess the risks of various courses of action.

The information value of judicial decisions varies with several factors. Appellate decisions are more valuable than trial decisions because appellate courts speak with more authority and their decisions are more likely to bind future courts. Published decisions are more valuable than unpublished decisions because they are easier to find and may be cited as precedent. Decisions with detailed reasoning are more valuable than decisions with cursory reasoning because they provide more information about what the court considered important. Decisions from higher courts, well-respected judges, or jurisdictions with sophisticated legal systems may be more valuable because they are more likely to be followed elsewhere.

Arbitral awards produce legal prices through a different process. Arbitrators are private decision-makers chosen by the parties rather than public officials appointed by the state. They apply the rules the parties have chosen, which may be different from the rules a court would apply. Their awards may be confidential, limiting their information value to parties beyond the immediate dispute. But within these constraints, arbitral awards function like judicial decisions: they apply norms to facts and generate prices that inform future conduct. Institutional arbitration—arbitration administered by organizations like the ICC, AAA, or LCIA—generates more visible prices because these organizations sometimes publish awards or statistics about outcomes. Ad hoc arbitration generates less visible prices because there is no institution to aggregate and publish information.

Settlements produce legal prices that are almost entirely invisible. When parties settle a dispute, they agree on terms: payment, release, confidentiality, perhaps changes in future conduct. The settlement reflects the parties' estimates of what would happen if they did not settle—what a court or arbitrator would decide, how long proceedings would take, what they would cost. In this sense, settlements are predictions about legal

prices, and the fact that parties accept them suggests the predictions are reasonable. But settlements are almost always confidential. The parties know what they agreed, but no one else does. The information contained in the settlement—information about how sophisticated parties assessed their legal exposure—is lost to the system. Millions of settlements occur each year, and each one contains information that could help other parties assess their own situations. None of that information is accessible.

Administrative rulings produce legal prices in regulatory domains. When an agency interprets a regulation, enforces a requirement, or grants or denies a permit, it generates information about how the regulatory system treats certain conduct. Some of this information is published: formal rulemaking produces published rules, enforcement actions may be announced, advisory opinions may be posted. But much administrative interpretation is informal, communicated only to the regulated party and not published anywhere. A company that asks an agency how a regulation applies to its situation may receive an answer, but that answer may not be available to other companies facing similar situations. The regulatory system generates prices, but many of those prices remain invisible.

III. Pathologies of Legal Price Systems

Normative Inflation

The first pathology is normative inflation: the production of more legal rules than the system can effectively price through enforcement. In an inflationary legal environment, each additional rule dilutes the expected consequence of all rules, just as printing more money dilutes the purchasing power of each unit.

The mechanism is straightforward. Consider a jurisdiction with 100 regulations and enforcement capacity sufficient to investigate 500 potential violations per year. If there are 5,000 regulated actors, each with a 10% chance of violating each regulation, there are 50,000 potential violations annually. The enforcement agency can investigate only 500 of these, so the probability that any particular violation is detected is about 1%. The expected legal price of violation is 1% times whatever sanction would be imposed upon detection. If the sanction is a $10,000 fine, the expected price is $100. Rational actors compare this expected price to the cost of compliance. If compliance costs more than $100, violation is economically rational.

Now suppose the legislature enacts 100 additional regulations without increasing enforcement capacity. The same 500 investigations must cover 100,000 potential violations instead of 50,000. The probability of detection falls to 0.5%. The expected legal price of any particular violation falls from $100 to $50. Compliance becomes less attractive across the board, not just for the new regulations but for all regulations. The legal system has experienced inflation: more rules chasing the same enforcement capacity, with each rule commanding less compliance.

This is not a hypothetical scenario but a description of how many legal systems actually operate. Legislatures face political incentives to enact laws that respond to problems. Each problem generates demands for a legislative solution. Legislators who respond to these demands gain political support; legislators who do not may be blamed for inaction. The result is that legislatures produce laws faster than enforcement agencies can enforce them. The laws accumulate on the books, each one technically valid, each one carrying sanctions for violation, but the probability that any particular law will be enforced declines as the number of laws increases.

The symptoms of normative inflation are pervasive. Systematic non-compliance becomes normal: everyone knows that many regulations are not enforced, so rational actors ignore regulations that seem unlikely to be enforced against them. A business considering whether to comply with an obscure safety regulation calculates the expected penalty, finds it negligible because enforcement is rare, and decides not to comply. Thousands of businesses make similar calculations, and the regulation becomes dead letter. The legal system has priced this regulation at approximately zero, regardless of what the statute book says.

Selective enforcement replaces universal enforcement. Agencies with limited resources cannot enforce all regulations against all violators, so they must choose. They target visible violators because visibility creates pressure for enforcement. They target disfavored groups because enforcement against favored groups creates political backlash. They respond to complaints, which means that those who complain effectively receive enforcement while those who do not are ignored. Enforcement becomes arbitrary—not in the sense that enforcers act randomly, but in the sense that enforcement depends on factors unrelated to the seriousness of violations.

Regulatory capture flourishes because regulated parties have incentives to influence enforcement priorities. If a business cannot comply with all regulations, its survival depends on which regulations are actually enforced. The business has an incentive to ensure that regulations it can comply with are enforced (to disadvantage competitors) while regulations it cannot comply with are ignored. Regulatory agencies, dependent on information and cooperation from regulated parties, may accommodate these preferences. The legal system prices some violations high and others low, but the pricing reflects political influence rather than social harm.

Normative Deflation

The second pathology is normative deflation: excessive rigidity that prevents legal prices from adjusting to changed circumstances. In a deflationary legal environment, interpretations freeze despite changes in the underlying conditions they were meant to address.

The mechanism involves institutional barriers to change. Constitutional provisions that require supermajorities for amendment can become entrenched even when circumstances change dramatically. A provision made sense when it was adopted—it reflected the conditions, values, and understandings of that time—but conditions change, values evolve, and understandings deepen. If the provision cannot be amended

because the required supermajority cannot be assembled, the legal price it establishes remains frozen at its original level.

Stare decisis creates similar rigidity in common law systems. Precedents bind future courts, which is valuable for predictability but costly for adaptation. A precedent established in 1950 may reflect conditions, technologies, and social arrangements that no longer exist. Yet the precedent controls because later courts are bound by earlier decisions. The legal price established in 1950 continues to govern in 2025, even though the circumstances that made that price sensible have disappeared. Overruling precedent is possible in principle but rare in practice. Courts are reluctant to overrule because doing so undermines the predictability that stare decisis is meant to provide. The result is that precedents persist long after they have ceased to make sense.

Long-serving judges who developed doctrine decades ago may resist updating even when they have the power to do so. Judges develop views over careers spanning decades. The views that seemed progressive in 1980 may seem outdated in 2020, but the judge who holds them may still be on the bench, still deciding cases, still shaping doctrine. Judicial tenure protects judges from political pressure, which is valuable for independence but costly for adaptation. A judge who cannot be removed may continue applying interpretations that circumstances have rendered obsolete.

When legal prices cannot adjust, misallocation occurs. Parties structure their conduct around interpretations that no longer reflect current conditions. Resources flow to activities favored by outdated rules rather than to activities that would be favored under current conditions. Consider a hypothetical: a constitutional provision adopted in 1900 protects a particular form of property right. In 1900, this protection made sense because the property right served important functions in the economy of that time. By 2000, the economy has changed, the property right serves no useful function, and the protection imposes costs that exceed any benefits. But the provision cannot be amended because the interests that benefit from it—however obsolete their benefit—can block the supermajority needed for amendment. Resources continue flowing to the protected activity, not because the activity is valuable but because the legal system has frozen its price at 1900 levels.

The symptoms of normative deflation include workarounds, legal fictions, and accumulating dysfunction. When parties cannot change formal rules, they find informal ways around them. They structure transactions to avoid triggering problematic provisions. They create legal fictions that achieve substantively prohibited results through formally permitted means. The formal law diverges from actual practice, and the divergence accumulates over time. Lawyers become skilled at evading rules rather than following them. The legal system loses touch with the reality it is supposed to govern.

Desuetude: Complete Devaluation

A special case of normative deflation is desuetude: the complete devaluation of a rule through persistent non-enforcement. A rule in desuetude remains formally valid—it

appears in the statute books, has not been repealed, could in principle be enforced—but generates no behavioral consequences. Its legal price has fallen to zero.

Desuetude occurs when enforcement ceases for a sustained period. If a rule is not enforced for decades, potential violators update their expectations. They no longer fear sanction because sanction never comes. As this expectation spreads, compliance declines further. Why bear the costs of compliance when non-compliance has no consequences? As compliance declines, enforcement becomes even less likely because violations are ubiquitous. Prosecutors and regulators cannot enforce against everyone, and enforcing selectively against a few violators when everyone violates seems arbitrary and unfair. A negative feedback loop produces complete devaluation: non-enforcement leads to non-compliance, which leads to further non-enforcement.

Unlike deliberate repeal, desuetude is informal and uncertain. The rule remains on the books indefinitely. No official declaration announces that the rule will no longer be enforced. The rule's validity is not questioned; only its enforcement is absent. Occasional enforcement attempts may occur, especially when authorities want to target a particular violator for other reasons. These sporadic enforcements do not restore the rule's price because everyone recognizes them as pretexts rather than genuine enforcement. The expected legal price approaches zero, and behavior adjusts accordingly.

Many jurisdictions retain laws that have fallen into desuetude. Blasphemy laws remain on the books in several European countries but have not been enforced in decades. Adultery remains technically criminal in some American states. Laws against various forms of private sexual conduct remained valid long after enforcement ceased, until courts eventually invalidated them (as in Lawrence v. Texas) or legislatures finally repealed them. These rules have zero legal price: no one expects enforcement, so no one adjusts behavior to avoid violation.

Desuetude illustrates the divergence between formal validity and actual operation. A legal system that focuses only on what rules exist, without examining their effective prices, systematically misunderstands how the system operates. The formal legal system—what the statute books say—may be entirely different from the effective legal system—what actually happens to people who violate rules. Analyzing only formal rules produces a misleading picture. The informal system of effective prices is what actually governs behavior.

IV. Normative Stagflation: The Worst of Both Worlds

The Concept

The most damaging pathology combines inflation and deflation into something worse than either: normative stagflation. Just as economic stagflation combines inflation (rising prices) with stagnation (high unemployment and low growth), producing the worst features of both conditions simultaneously, normative stagflation combines the

proliferation of unenforced rules with the rigidity of unreformable constitutional structures. The legal system produces too many rules that it cannot enforce while simultaneously preventing adaptation of the rules that matter most.

The term "stagflation" was coined in the 1960s to describe an economic condition that Keynesian theory had considered impossible. Keynesian economics predicted a tradeoff between inflation and unemployment: policies that reduced unemployment would increase inflation, and policies that reduced inflation would increase unemployment. Policymakers could choose their preferred point on this tradeoff but could not escape it. Stagflation violated this prediction. During the 1970s, many Western economies experienced high inflation and high unemployment simultaneously. Prices rose while factories sat idle and workers remained jobless. The standard policy tools did not work: fighting inflation required accepting more unemployment, but unemployment was already high; fighting unemployment required accepting more inflation, but inflation was already high.

Normative stagflation presents an analogous dilemma. Fighting normative inflation requires reducing the number of rules or increasing enforcement capacity, but the political economy that produces inflation also blocks reduction. Legislators gain credit for enacting laws and lose nothing when those laws are not enforced. Repealing laws invites criticism from constituencies that benefit from them, even if the benefit is merely symbolic. Increasing enforcement capacity requires resources that legislatures are reluctant to provide. The inflationary pressure continues unchecked.

Fighting normative deflation requires increasing constitutional flexibility or updating frozen interpretations, but the political economy that produces deflation also blocks adaptation. Constitutional provisions persist because beneficiaries can block amendment. Precedents persist because courts are reluctant to overrule. The deflationary pressure continues unchecked.

When both pathologies operate simultaneously, the system becomes trapped. It cannot reduce the volume of unenforced rules because the same political dynamics that created them prevent their repeal. It cannot adapt the constitutional structure because the same entrenchment that created rigidity prevents reform. The legal system churns out new rules that no one follows while preventing modification of old rules that no longer work.

Argentina as Case Study

Argentina provides a striking example of normative stagflation, displaying both pathologies in acute form across multiple legal domains.

The inflationary dimension is pervasive. Argentine labor regulations require extensive documentation for every employment relationship, restrict termination to enumerated causes, mandate severance payments that can exceed a year's salary, impose complex social security obligations with multiple overlapping contributions, and require compliance with collective bargaining agreements that specify wages, working conditions, and benefits in minute detail. Tax regulations require dozens of filings per

year, create overlapping national, provincial, and municipal obligations, change frequently through decrees and administrative interpretations, and impose penalties that can exceed the underlying tax liability. Commercial regulations require permits, licenses, and registrations for routine business activities, with different requirements at different levels of government, frequent changes in requirements, and substantial uncertainty about which requirements apply to which activities.

No business can comply with all of these requirements. The regulatory burden exceeds what any business can bear, particularly small and medium enterprises that lack dedicated compliance departments. Businesses face a choice: comply and fail economically, or operate informally and risk sanctions. Most choose informality. The Argentine statistical agency INDEC reports that over 40% of Argentine workers are employed informally, outside the formal labor system entirely (INDEC 2024). These workers receive no legal protection because they do not exist legally. Their employers pay no social security contributions, make no tax withholdings, and face no termination restrictions—not because the law permits this, but because the law does not reach them. The regulations exist, but their price has been inflated to zero. Businesses that comply face competitors who do not, and the competitors have lower costs. Formal economy shrinks while informal economy grows.

This is normative inflation in its pure form: more rules than the system can enforce, with each rule commanding less compliance. The regulations are not merely excessive but counterproductive. They were enacted to protect workers, but their practical effect is to drive employment underground where workers have no protection. They were enacted to ensure tax compliance, but their practical effect is to drive economic activity into cash transactions that escape taxation entirely. The regulatory system defeats its own purposes through its own weight.

The deflationary dimension is equally pronounced. Article 14 bis of the Argentine Constitution, adopted in 1957, enshrines a comprehensive vision of labor rights. It guarantees workers protection against arbitrary dismissal, participation in profits, pleasant working conditions, limited working hours, paid rest and vacations, fair wages, equal pay for equal work, family allowances, and social security. It guarantees unions the right to collective bargaining, to strike, and to organize without interference. It guarantees social security benefits including retirement pensions, adjustable benefits, and family protection.

These provisions reflected the political economy of 1957, when Juan Perón's influence remained strong despite his exile, when industrialization had created a substantial factory workforce organized in powerful unions, and when the prevailing ideology favored extensive state protection of labor. Whether the provisions made sense in 1957 is debatable. What is not debatable is that circumstances have changed dramatically. The Argentine economy has deindustrialized. Services now employ more workers than manufacturing. Global competition requires flexibility that rigid labor protections prevent. Technology enables work arrangements that 1957 could not imagine. The informal sector has grown to encompass nearly half the workforce. The provisions that were meant to protect workers now prevent their formal employment.

But Article 14 bis cannot be changed. Constitutional amendment in Argentina requires a two-thirds vote in Congress followed by approval by a specially elected constitutional convention. This threshold has been achieved only twice since 1957, and both times the reforms carefully avoided touching Article 14 bis. The unions that benefit from the current arrangements—not the workers, who are increasingly informal and unprotected, but the union leadership that controls formal sector labor relations—can mobilize enough political opposition to block any reform. Labor lawyers who specialize in Article 14 bis litigation have invested careers in the current system. Labor court judges who have built jurisprudence on Article 14 bis interpretations have professional interests in maintaining that jurisprudence. Law schools teach Article 14 bis as a cornerstone of Argentine constitutionalism. An entire ecosystem depends on the persistence of provisions that have become dysfunctional.

This is normative deflation in its pure form: interpretations frozen at 1957 levels despite transformed circumstances. The constitutional price of labor relations was set sixty-seven years ago and cannot be updated. Employers and workers who would benefit from different arrangements cannot obtain them legally. The formal labor market shrinks because the constitutional price is too high; employers cannot afford to pay it, so they hire informally or not at all.

The Interaction Effects

The two pathologies interact in ways that make each worse. Inflation and deflation are not merely simultaneous; they reinforce each other.

Constitutional rigidity prevents legislative reform that might reduce regulatory inflation. If the constitution entrenches certain labor protections, the legislature cannot repeal regulations that implement those protections even when the regulations are counterproductive. The regulatory burden grows because the legislature can add regulations but cannot remove the constitutional mandates that require them. A legislator who wanted to simplify labor law would face constitutional barriers to any simplification that reduced worker protection below the 14 bis floor.

Regulatory inflation makes constitutional reform more difficult by creating constituencies that benefit from the status quo. Every regulation creates beneficiaries: agencies that enforce it, lawyers who interpret it, consultants who advise on compliance, interest groups that lobbied for it. These beneficiaries resist repeal even when the regulation has been inflated to irrelevance. When constitutional reform is proposed, the coalitions that benefit from existing regulations mobilize in opposition. The regulatory ecosystem that inflation created becomes a political force that reinforces deflation.

The informal sector that inflation creates undermines the political coalition that might support constitutional reform. Workers who have exited the formal economy have no stake in reforming the formal labor code—they are not subject to it anyway. The pool of workers who might benefit from reform shrinks as informality grows, while the pool of formal sector workers and union leaders who benefit from the status quo remains

concentrated and organized. Inflation thus weakens the constituency for the constitutional reform that would address deflation.

Deflation makes inflationary responses more attractive to legislators. When legislators cannot address problems by reforming the constitutional structure, they address them by adding regulations. Unable to simplify labor law because Article 14 bis prevents simplification, legislators add complexity: new regulations, new enforcement mechanisms, new compliance requirements. Each addition increases inflation while doing nothing about deflation. The legislature is not irrational; it is responding to problems with the tools it has. But the tools it has are inflationary, and the constitutional structure prevents deflationary alternatives.

The Stagflation Trap

The result is a trap from which escape is extraordinarily difficult. The legal system cannot reduce inflation because the political dynamics that produced it prevent reduction. It cannot reduce deflation because the constitutional structure that produced it prevents reform. It cannot escape the interaction effects because inflation and deflation each reinforce the other.

Parties operating in this environment face an impossible situation. They cannot comply with all the inflated rules because compliance is economically impossible. They cannot escape the deflated constitutional constraints because those constraints are legally binding. They cannot rely on selective enforcement to protect them because enforcement is arbitrary and unpredictable. They cannot exit to other jurisdictions because their activities are location-specific or their resources are insufficient. They are trapped in a legal system that demands what they cannot provide and prevents what they need.

The comparison to economic stagflation is instructive. Economic stagflation eventually ended, though the process was painful and took years. The resolution required abandoning policy frameworks that had produced the problem—Keynesian demand management gave way to monetarist focus on inflation control—and accepting short-term costs for long-term gains. Normative stagflation may require similar transformations: abandoning constitutional frameworks that produce rigidity, accepting short-term political costs for long-term institutional gains.

But economic policy can change through executive and legislative action, while constitutional frameworks cannot change without supermajority agreement. The very rigidity that defines normative deflation prevents the transformation that might end stagflation. This is why normative stagflation is more difficult to escape than economic stagflation. The political economy that produces the trap also guards its exits.

V. Toward Functional Legal Price Mechanisms

Requirements for Effective Legal Pricing

If legal systems are to reduce uncertainty and enable calculation, they need mechanisms that make legal prices visible and usable. Drawing on the analysis of market price mechanisms, several requirements emerge.

The first requirement is observability. Legal prices must be observable by parties who need them. This means that decisions must be published, archives must be accessible, and precedents must be searchable. The current system, where many decisions are unreported, archives are fragmented across jurisdictions, and search requires expensive professional assistance, fails this requirement badly. A party trying to determine the legal price for a particular type of conduct must invest substantial resources in research, and even then may miss relevant precedents because they were not published or are buried in databases that are difficult to search.

The second requirement is comparability. Legal prices must be comparable across cases. This requires some degree of standardization: common categories for organizing cases, metrics for assessing outcomes, formats for presenting decisions. The current system, where every case is treated as unique and comparison requires expert judgment about similarity, partially fails this requirement. Two cases that reached different outcomes may be distinguished by facts that are unimportant to a party trying to assess their own situation. Two cases that reached the same outcome may rest on reasoning that applies differently to different situations. Without standardized ways of comparing cases, parties cannot aggregate information across precedents.

The third requirement is timeliness. Legal prices must be available in time to inform decisions. A precedent that emerges years after parties needed it provides no value for the original transaction. The current system, where litigation takes years and precedents emerge slowly, often fails this requirement. A party negotiating a contract today cannot wait three years to learn how courts will interpret the terms. They must act now, on whatever information is currently available, even if better information will emerge later.

The fourth requirement is reliability. Legal prices must be reasonably stable and predictable. If prices change unpredictably, parties cannot rely on them for calculation. A party who structures a transaction based on precedent X must be able to assume that precedent X will still govern when the transaction is performed or disputed. The current system, where appellate reversals and doctrinal shifts can invalidate expectations, partially fails this requirement. Parties take on "legal risk" that courts will change the rules after parties have acted.

The fifth requirement is revelation. Legal prices should reflect genuine valuations, not strategic behavior. In markets, prices are credible because participants pay them: a bid of $100 is credible because the bidder must pay $100 if accepted. This creates "skin in the game" that aligns stated preferences with actual preferences. The legal system often lacks equivalent mechanisms. A party who invokes a precedent does not pay for doing

so. A legislator who enacts a regulation does not bear the costs of enforcement or compliance. A judge who issues a ruling does not bear the costs if it proves unworkable. The absence of skin in the game allows legal prices to diverge from actual values.

Existing Mechanisms and Their Limitations

Current legal systems have developed various mechanisms that partially address these requirements, each with characteristic strengths and weaknesses.

Case reporters and databases represent the most developed existing mechanism. Services like Westlaw and LexisNexis in the United States, or similar services in other jurisdictions, collect judicial decisions and organize them into searchable databases. Users can search by keyword, citation, legal topic, or other criteria. The services add editorial value: headnotes that summarize holdings, key numbers that categorize legal points, citators that show how later cases have treated earlier ones. These services dramatically improve observability and comparability relative to a world where parties had to visit physical courthouses to review paper records.

But the services have significant limitations. Access is expensive: a subscription to a major legal database costs thousands of dollars per year, putting comprehensive legal research beyond the reach of individuals and small businesses. Coverage is incomplete: the services include appellate decisions systematically but cover trial court decisions inconsistently, and they include almost no arbitral awards, settlement information, or administrative interpretations. Organization reflects the priorities of commercial publishers rather than the needs of users, with editorial choices that may not match how parties actually search for information. The services improve legal pricing but do not solve the fundamental problems.

Legal scholarship synthesizes cases into doctrines, identifying patterns and extracting principles. Treatises organize bodies of law, explaining how different rules fit together and how they have evolved over time. Law reviews publish detailed analyses of particular topics, often anticipating how doctrine might develop. This scholarship improves comparability by creating categories that organize individual decisions and showing how cases relate to each other.

But scholarship has its own limitations. Academic production operates on timelines disconnected from practitioner needs: a law review article may take two years from submission to publication, by which time the legal landscape may have changed. Academic incentives favor novelty and theoretical contribution over practical utility; an article that synthesizes existing doctrine may be less prestigious than one that proposes theoretical innovation, even if practitioners need the synthesis more. Much scholarship addresses questions of limited practical importance because those questions are academically interesting, while practically important questions receive less attention because they are academically pedestrian.

Professional judgment brings expertise to bear on individual problems. Lawyers advise clients by synthesizing their knowledge of precedents, procedures, and local practice into assessments of particular situations. Good lawyers have seen many similar

situations and can draw on pattern recognition that databases cannot replicate. They know which judges are favorable, which arguments work, which opposing counsel to take seriously.

But professional judgment is expensive and variable. Hourly rates for experienced lawyers can exceed $1,000, putting high-quality advice beyond the reach of most parties. Quality varies enormously across the profession; a party who happens to hire a less capable lawyer receives worse assessment even though they cannot observe the quality difference until it is too late. Professional judgment adds an interpretive layer that may introduce bias: lawyers who are optimistic about their clients' positions may provide optimistic assessments, while lawyers who are risk-averse may provide pessimistic ones. The judgment reflects the lawyer's perspective as much as the underlying law.

Possible Improvements

Several improvements could make legal price mechanisms more effective, ranging from modest enhancements of existing institutions to more ambitious innovations.

The most modest improvements would enhance legal information systems. Universal publication of all judicial decisions in machine-readable formats would improve observability dramatically. Currently, publishers select which decisions to include in databases based on commercial criteria that may not match users' needs. If all decisions were published—including trial court decisions, administrative rulings, and arbitral awards—users could assess legal prices based on complete information rather than selected samples. Standardized tagging of decisions with structured metadata would improve comparability. If every decision included coded information about case type, outcome, damages, duration, and relevant doctrines, statistical analysis would become possible. Users could assess not just what courts say but what they do: how often does this type of claim succeed, what is the range of damages, how long does resolution take. Open access to legal information would extend the benefits to parties who currently cannot afford commercial services. Legal information is produced by governments using public resources; there is no obvious reason why it should be locked behind expensive paywalls.

More ambitious improvements would create new mechanisms for aggregating information. Prediction markets for legal outcomes could aggregate dispersed information into probability estimates. Participants would trade contracts paying based on how legal questions are resolved; the market price would reflect the market's best estimate of the probability. Such markets have shown accuracy in other domains, consistently outperforming polls and expert judgment in predicting election outcomes. Legal prediction markets could provide real-time probability estimates for significant legal questions, updated as information emerges.

Interpretive protocols could allow parties to adopt interpretations prospectively, creating revealed-preference information about which interpretations parties value. If adopting an interpretation required paying a fee or posting a bond, adoption would signal commitment. Interpretations that attracted adoption would demonstrate fitness;

those that did not would reveal themselves as unvalued. Over time, a market in interpretations could emerge, with prices reflecting how parties value different interpretive approaches.

Feedback mechanisms could connect outcomes to rules. If a regulation consistently produces non-compliance, that information could trigger review. If a precedent consistently produces litigation, that could signal need for clarification or overruling. Currently such feedback occurs slowly and informally; systematic mechanisms could accelerate adaptation.

None of these improvements would fully solve the normative calculation problem. Legal prices are inherently more complex than market prices, and no institutional arrangement will achieve the precision and timeliness that securities markets achieve. But significant improvements are possible. The goal is not perfection but progress: making legal prices more visible, more comparable, and more useful for the parties who need them.

VI. Implications and Limitations

Implications for Legal Reform

The normative calculation framework suggests several implications for legal reform.

Jurisdictions suffering normative inflation need fewer rules, but the reduction must be targeted carefully. The rules to remove are those whose legal price has already approached zero through non-enforcement. These rules clutter the legal system without affecting behavior. Removing them simply acknowledges reality while reducing the noise they create for parties trying to understand what the legal system actually requires. Removing rules that still have positive enforcement probability would be a different matter, requiring assessment of whether the benefits of the rule exceed the costs.

Jurisdictions suffering normative deflation need mechanisms for updating frozen interpretations. This might include easier constitutional amendment procedures, sunset provisions that require reauthorization, or interpretive doctrines that favor adaptation over rigidity. But flexibility must be targeted: not all provisions should be easily changed. The challenge is distinguishing provisions that should be stable from provisions that have become dysfunctional, and creating mechanisms that permit adaptation of the latter without destabilizing the former.

Jurisdictions suffering normative stagflation face the hardest challenge. Neither incremental rule reduction nor incremental flexibility will suffice because the same political dynamics that cause inflation also block deflation, and vice versa. Structural reform of the underlying political economy may be necessary, but structural reform is precisely what stagflation prevents. Breaking out of the trap may require extraordinary measures: constitutional moments that overcome normal barriers to reform, external

shocks that disrupt entrenched interests, or gradual erosion of the constituencies that sustain the trap.

Making legal prices more visible will change behavior in ways that must be considered. Parties who understand the legal price of certain conduct may adjust their behavior in both beneficial and problematic ways. If parties know that breach of a certain type of contract typically results in damages of $X, they can decide whether breach is worthwhile. This may increase efficient breach—breach where the gains to the breaching party exceed the losses to the other party—which economic analysis suggests is desirable. But it may also increase opportunistic breach—breach calculated to exploit the other party's inability to recover full damages—which is problematic. Legal systems may need to adjust remedies in response to increased price transparency.

Implications for Legal Theory

The framework also has implications for jurisprudential debates.

Interpretation should be understood partly as pricing. When a court interprets an ambiguous statute, it is not just discovering meaning but generating price information. The interpretation tells future parties what consequence the system assigns to conduct covered by the statute. Recognizing this function may affect how we evaluate interpretive methods. Methods that produce clearer signals—interpretations that future parties can apply more confidently—may be preferable to methods that produce nuanced signals requiring further interpretation. Predictability has value beyond its intrinsic merit because it enables parties to calculate.

Precedent functions as an information mechanism, not just a constraint on discretion. Stare decisis is usually justified as limiting judicial discretion and providing stability. The price framework suggests an additional function: making judicial decisions visible and thereby enabling calculation. A system without precedent might give judges more flexibility in individual cases, but it would deprive parties of the information they need to predict outcomes and structure conduct. The informational cost of abandoning precedent may exceed the flexibility benefit.

Codification involves tradeoffs between planning and pricing. Civil law systems that rely on comprehensive codification provide detailed ex ante guidance: parties can read the code and know (in principle) what the law requires. But codification may sacrifice price-generating capacity. Each case in a common law system generates explicit precedent that updates the legal price for similar situations; cases in civil law systems may generate only implicit interpretation that does not accumulate into visible prices. The common law system generates more pricing information, while the civil law system provides more planning information. Neither is obviously superior; they represent different ways of managing the tradeoff between ex ante clarity and ex post adaptation.

Limitations

Several limitations of this analysis should be acknowledged.

The analogy between legal and market prices is imperfect. Market prices are numerical and precisely comparable; legal prices are multidimensional and require judgment to compare. Market prices adjust continuously; legal prices adjust discretely. Market prices emerge from voluntary transactions; legal prices often emerge from involuntary adjudication. These differences limit how far market-based solutions can translate to legal contexts. Mechanisms that work well for pricing commodities may not work well for pricing legal interpretations.

The normative dimensions of the analysis are underspecified. This paper has focused on information and calculation, largely setting aside questions of justice. A legal pricing system that efficiently transmitted information about unjust rules would be problematic. The framework needs integration with normative constraints that ensure the content being priced is substantively acceptable. Legal prices are not merely factual; they carry normative weight that market prices do not.

The empirical evidence is limited. The pathology concepts—inflation, deflation, stagflation—are based on observation and reasoning but have not been rigorously tested with quantitative data. Measures of legal pricing efficiency have not been developed. The comparative claims about different legal systems rest on qualitative assessment rather than quantitative measurement. Further empirical work would strengthen or qualify these claims.

Implementation faces substantial obstacles. Legal restrictions in some jurisdictions prohibit prediction markets. Network effects impede adoption of new protocols. Professional interests resist transparency that threatens established expertise. The gap between concept and realization may be larger than the analysis suggests. Ideas that seem promising in theory may prove impractical in application.

Unintended consequences are possible. Making legal prices visible may change behavior in unexpected ways. Transparency may enable gaming, with sophisticated parties exploiting newly visible prices at the expense of less sophisticated parties. Explicit pricing may commodify legal relations in ways that undermine their social meaning. These possibilities counsel caution in implementation.

VII. Conclusion

Ludwig von Mises demonstrated in 1920 that economic coordination requires price mechanisms because prices aggregate dispersed information that cannot otherwise be centralized. Without prices, rational calculation is impossible, not because calculators lack skill or motivation, but because the information necessary for calculation does not exist without markets to generate it. This paper has argued that legal coordination faces an analogous problem.

Legal systems generate information through case-by-case application of norms to facts. Each judicial decision, arbitral award, settlement, and contractual provision produces a “legal price”: the specific consequence the system assigns to a particular

configuration. This information could enable calculation. Parties could assess risks, structure transactions, and plan conduct based on expected legal consequences. Legislators could design rules knowing how they would be applied. Judges could decide cases knowing how their decisions fit into broader patterns.

But legal systems lack the institutional infrastructure that makes market prices visible and usable. Legal prices are dispersed across jurisdictions, unstandardized across cases, often confidential, and difficult to compare. The result is massive uncertainty that imposes costs throughout the legal system. Parties cannot know what their contracts mean. Legislators cannot know what their statutes will produce. Judges cannot know how their rulings fit with others. Everyone operates with less information than rational decision-making requires.

This framework illuminates pathological conditions that afflict legal systems. Normative inflation occurs when rules proliferate beyond enforcement capacity, diluting the expected consequence of each rule until compliance becomes optional. Normative deflation occurs when constitutional rigidity prevents adaptation, freezing interpretations at levels that no longer serve current conditions. Normative stagflation combines both pathologies: too many unenforced rules and too little adaptive capacity, with each pathology reinforcing the other. Argentina exemplifies stagflation, but the condition is not unique; other legal systems exhibit similar dynamics.

The analysis suggests that legal systems need mechanisms performing for normative interpretation what price mechanisms perform for economic coordination. Several implementations are possible, from modest improvements to legal information systems through ambitious innovations in interpretation protocols. Each has advantages and limitations. What matters is not any particular technology but the underlying function: making legal prices visible so that actors can calculate.

I do not claim this is the complete answer to legal uncertainty. The analysis has limitations I have tried to acknowledge. The analogy between legal and market prices is imperfect. Normative dimensions need more development. Empirical evidence would strengthen the claims. Implementation faces obstacles. Unintended consequences are possible.

But I believe the direction is correct. Legal systems are coordination mechanisms, and coordination requires information. The information necessary for legal coordination is generated through case-by-case application of norms to facts, but is not effectively aggregated or transmitted to those who need it. The normative calculation problem has been hiding in plain sight. Addressing it—finding ways to make legal prices visible—could reduce uncertainty, lower transaction costs, enable beneficial exchanges, and help legal systems serve the coordination functions that justify their existence.

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